Bangladesh Bank
Monetary Policy Statement
12 July 2007

Executive Summary

Background: The fourth issue of the half-yearly Monetary Policy Statement (MPS) presents the monetary stance that the Bangladesh Bank (BB) is going to pursue in the first half of FY08 taking into account the performance of real sector and external sector and also the monetary developments in the recent past.

Objectives, targets and instruments: As usual, monetary policy pursued by BB aims at supporting the highest sustainable output growth while maintaining price stability, adjusting smoothly to the internal and external shocks faced by the economy from time to time. Monetary policy is accordingly designed around a projected real GDP growth rate, a moderate level of CPI inflation attainable/sustainable without unduly depressing output. Reverse repo and repo interest rates and BB bill rates are the routinely employed policy instruments for influencing financial and real sector prices towards the targeted path for inflation. Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) for banks are less frequently used instruments that directly influence available volumes of credit. Annual monetary programmes based on the projected real GDP growth and targeted inflation rate employ Reserve Money (RM) and Broad Money (M2) as intermediate targets, while also tracking other asset and liability side sub-aggregates.

Growth outcome and outlook: Projection for real GDP growth for FY07 has been revised down to 6.5 percent following setbacks in the agriculture sector that experienced a moderate growth mainly due to inadequate rainfall, distribution problems relating to fertilizer, and shortages of power for irrigation. Growth in the industry sector continues to be strong in FY07 reflecting steady growth in export-oriented manufacturing and increased domestic demand. Industry and service sectors are expected to continue the robust performance in FY08. Following some government measures, growth in agriculture is expected to be higher than the previous year. Overall, real GDP growth is projected to be 7.0 percent in FY08.

Inflation outcome and outlook: Annual average inflation in Bangladesh went down to 6.72 percent (below the target range 6.85–6.95 percent for FY07) in January ′07 from 7.16 percent in June ′06. Thereafter, annual average inflation rate showed an uptrend owing to rises in prices of fuel, metal, food grain and other essentials in the international market coupled with supply problems in the domestic front and reached 7.06 percent in May ′07. The government has taken some immediate measures to cope with the situation and is expecting to succeed in limiting annual average inflation to hover around 7.0 percent in June ′07. Despite continued unfavorable price development in the international front, the corrective measures taken by the government to handle the supply side rigidities and by BB to manage the demand side, the pressure on consumer price is expected to go down in the coming months provided there is no sharp and continued rise in the oil price. In this backdrop, BB's monetary policy will target an annual average CPI within a range of 6.5–7.0 percent for FY08.

Policy stance for FY08: The cautious, restrained monetary policy stance followed by BB in the last 18 months would be continued during the first half (H1) of FY08 along with the supply-side measures taken by the government. Despite cautious monetary policy pursued by BB, the actual growth of several monetary aggregates exceeded the programme levels. It may be necessary to review BB policy rates. BB may review SLR/CRR of banks including Islamic ones which have remained unchanged since 2005, in view of the unfolding price developments. As before, the private sector will receive necessary policy attention to ensure desired level of economic growth.

1. Introduction:

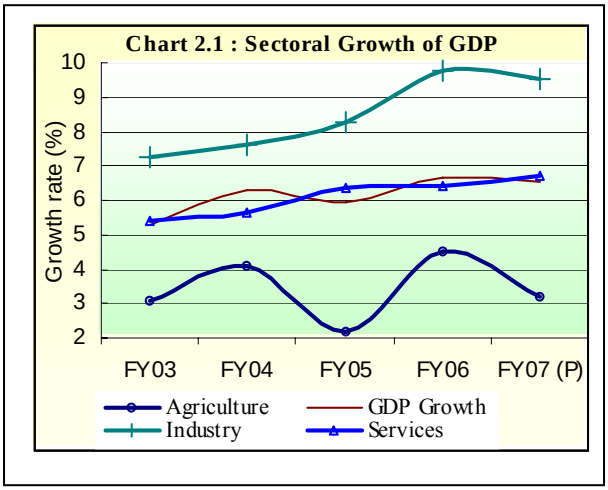
Following a strong growth of 5.4 percent in 2006, global output growth is projected to be 4.9 percent in 2007 (WEO, April ′07, IMF); while developing world would grow by 7.0 percent. Economic growth in Bangladesh has also got its momentum like its neighboring countries. Bangladesh experienced a real GDP growth of 6.63 percent in FY 06. The

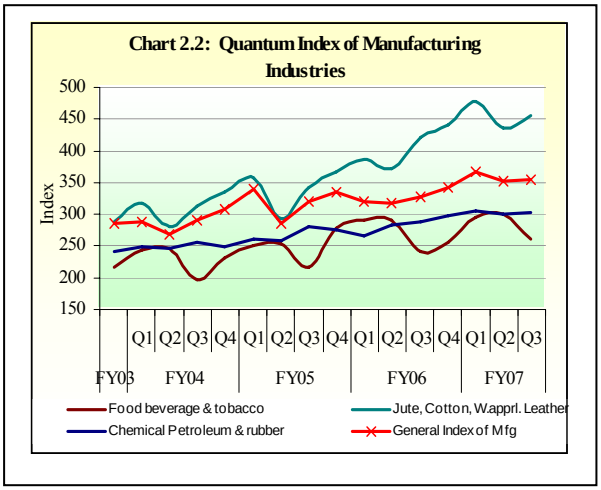
growth projection for current fiscal year is 6.5 percent. The policy strategy recently initiated and the reform programs undertaken by the government would not only help the economy to grow by 7.0 percent in FY08 but also pave the way for Bangladesh to become a member of the "middle income group country" by the end of the next decade.

2. Macroeconomic development: outcome and outlook

2.1 **Growth:** During the last three years real GDP grew on an average at above 6.0 percent up to FY 06. The growth momentum though expected to continue in FY07, the revised estimate of GDP growth rate has been revised lower to 6.5 percent from the projected range of 6.5–6.8 percent largely reflecting setback in agriculture that faced supply failure of fertilizers, shortages of power for irrigation and inadequate rainfall. Production of *aus* and *aman* crops were 1.51 million and 10.80 million tons in FY07 against 1.75 million and 10.80 million tons respectively in FY 06. Output of *Boro*, the largest crop in the year, is estimated at 14.50 million tons compared to 14.00 million tons in FY 06. Production of maize has increased as farmers have largely substituted maize for wheat. The latest estimate of overall food grain production is about 27.54 million tons, slightly above than that of the last year and less than the target 32.27 million tons for FY07.

Growth in the industry sector continues to be robust in FY07 owing to steady growth in export-oriented manufacturing and increased domestic demand. Looking at the growth trend of quantum index of manufacturing industries, it is expected that the growth in the industry sector would be within 10.0-10.5 percent. The buoyancy of growth in industry is supporting corresponding growth in the service sector. The accelerated pace of growth in the transport and communications sector would likely offset the apparent slow down in the construction and real estate sector.

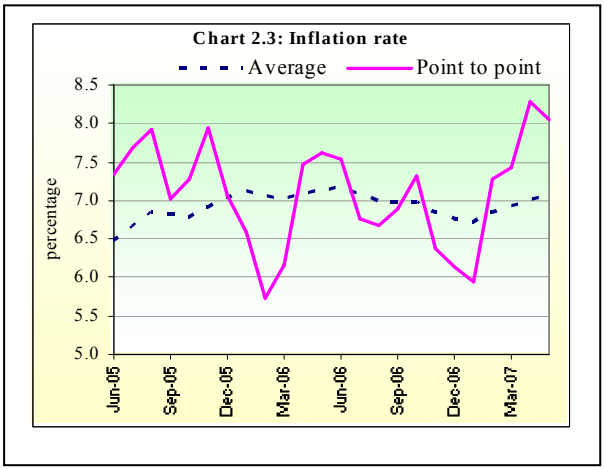


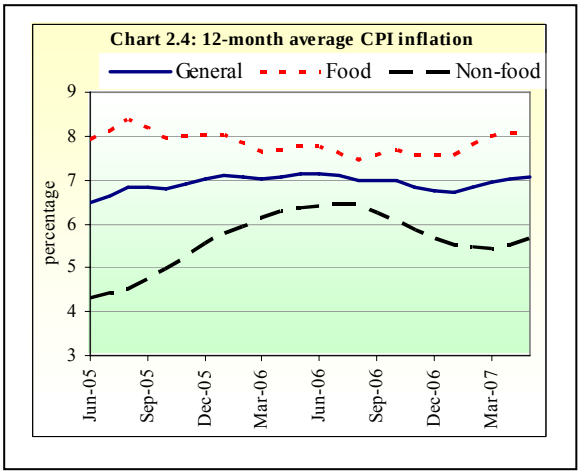


Overall GDP growth, according to forecast for FY08, is expected to regain its momentum mainly representing the conducive economic and political environment created by the present government. Growth in the agriculture sector in FY08 is thus likely to be higher than that in FY07 aided by the projected higher disbursement of agricultural loans and supportive measures cited above. The industry sector is expected to continue to show robust performance in FY08 mainly due to steady growth in export-oriented manufacturing

and new capacity addition especially in the telecommunications and the energy sectors. Increase in import of industrial raw materials (12.2 percent) and capital machinery (16.6 percent) during July 06–May ′07 indicate that industry sector growth will sustain. The service sector is likewise expected to experience buoyant growth in FY08. Overall, real GDP growth in FY08 is projected to be 7.0 percent in line with the projection in the Medium Term Macroeconomic Framework (MTMF).

2.2 Inflation: FY07 commenced with an average inflation rate of 7.16 percent but eased to 6.72 percent by the end of January, ′07 reflecting both seasonality and restrictive monetary policy that was pursued. Inflation projection for FY07 was lowered from 7.0 percent to a range of 6.85-6.95 percent in the Monetary Policy Statement announced in January 2007. In the international front, prices of fuel, metals, food grains and other essential commodities soared, while in the internal front, selective depreciation in the exchange rate, revision of fuel prices, production shortfall of food items and political unrest, some of which have already been subdued, put pressure on the prices. Inflation rate, on an average basis, went up to 7.06 percent in May ′07 (8.05 percent on point-to-point basis). Inflationary pressure was mainly felt on the food component, which went up to 8.02 percent at the end of May ′07 from 7.56 percent at the end of January ′07 while non-food inflation rose slightly to 5.67 percent at the end of May ′07 from 5.53 percent at the end of January ′07.





Apart from steps to monitor supply in domestic markets, the government has taken price stabilization measures to ease the pressure which include withdrawal of duties, importation of food grain by the government, strengthening of internal procurement, provision for subsidy on fertilizers and diesel and widening of the Social Safety Net Programme. Besides, banks are now providing credit facilities on softer terms to new importers, easing the LC margin for food items, extending time limit for customer facility and arranging higher agricultural credit. Since global commodity prices are not projected to fall in 2008 (WEO, IMF, April 2007) these measures may only slightly lessen the pressure on consumer prices. Hence monetary stance of the Bangladesh Bank over the coming quarters will continue to target the containment of annual average inflation within a range of 6.5–7.0 percent for FY08.

2.3 External sector: Exports and imports grew by 18.50 percent and 17.83 percent respectively, year on year basis in first ten months of FY07. Growth in worker's remittances was also steady at 24.52 percent up to June ′07. Surplus in the current account balance emanating mostly from robust growth in exports and workers remittances inspite of higher growth in imports helped releasing pressure in foreign exchange market that prevailed in the last part of H1 FY07.

With the marked increase in supply of foreign currency the foreign exchange reserves continued to build up to reach an all time high of 5.1 billion US dollar. Mirroring floating exchange rate management, the exchange rate of taka against US dollar, amidst fluctuations, appreciated by 1.26 percent to Tk. 68.80 at the end June ′07 from Tk. 69.67 at the end June 06.

Some downside risks in the global perspective in FY08 remains the main concern affecting external sector outlook. Besides, it has been apprehended that export sector of Bangladesh may bear some pressure with the end of restrictions on Chinese apparels by the end of 2007. However, increased flow of remittances, probable higher FDI flow, reasonable export growth and normal import trend are expected to persist in FY08. Bangladesh Bank will continue to use its monetary policy tools, if necessary, to sterilize liquidity to emanate from expected higher foreign currency inflows.

2.4 Fiscal Sector: The overall deficit in the revised budget of the government for FY07 remained the same as in the original estimate and amounted to Tk. 173.64 billion or 3.7 percent of GDP, funded by Tk. 73.33 billion in foreign loans and grants and Tk. 100.31 in domestic borrowings including bank borrowing of Tk. 65.31 billion. Actual outturn in bank borrowing is less at Tk. 59.8 billion as on 30 June ′07. The budget for FY08 projects an overall deficit of Tk. 223.13 billion or 4.2 percent of GDP, to be funded by Tk. 42.55 billion in foreign grants, Tk. 63.05 billion in foreign loans and Tk.117.53 billion in domestic borrowing including bank borrowing of Tk. 72.53 billion. BPC's accumulated loss of Tk. 75.23 billion is included in the budget. As indicated in the budget this will not create immediate additional fiscal liabilities as it will be financed by a "Non-Cash Bond" issue.

From the beginning of FY07, a modified arrangement of Government's bank borrowings was put in place under the supervision of a Cash and Debt Management Committee (CDMC) chaired by Secretary, Finance Division. The new arrangement included a widened Ways and Means Advance Limit (Tk. 10.00 billion instead of Tk. 0.65 billion) and auction of treasury bills and bonds according to volumes pre-announced in the borrowing calendar. This new arrangement segregated BB's role in government debt management from its monetary policy operations but there is no in-built mechanism to limit government bank borrowings within the ceiling of budgetary provisions. Until now, following the changed treasury rules BB holds treasury bills and bonds at cut off rate if market supply of fund falls short of Government's demand set by CDMC (which is known as devolvement). From the 4th quarter FY07, BB was allowed to offload the devolved amount to the banks and financial institutions at the cut off rate of last auction for the remaining period. Recently the CDMC has agreed in principle that from the beginning of FY08 the devolvement system will be replaced by a system where the extra amount will be devolved on the primary

dealers on the basis of underwriting. This new system will enthuse the primary dealers to create a secondary market for government securities. The new system will make it easier for BB to improve its monetary management.

3. Monetary Policy Stance

3.1 Recent Monetary Developments: Bangladesh Bank has been continuing to pursue a cautious, restrained monetary stance since H2 FY05 with a view to curbing excess demand from inflationary expectations.

An upward bias in policy interest rates (Table 3.1) and reintroduction of BB bills in October 2006 helped in limiting inflation around the targeted seven percent despite international price pressure. In spite of cautious monetary policy, M2 year-on-year growth (18.2 percent) at the end of May ′07 exceeded the end-June target (14.7 percent), growth rate of private sector credit that mirrors a part of the aggregate demand grew at 15.6 percent which was lower than previous year's growth rate of 17.1 percent. Net foreign assets of banking sector has been continuing to grow at a rate leading to the build up of foreign exchange reserves that reached $ 5.1 billion by the end of June ′07.

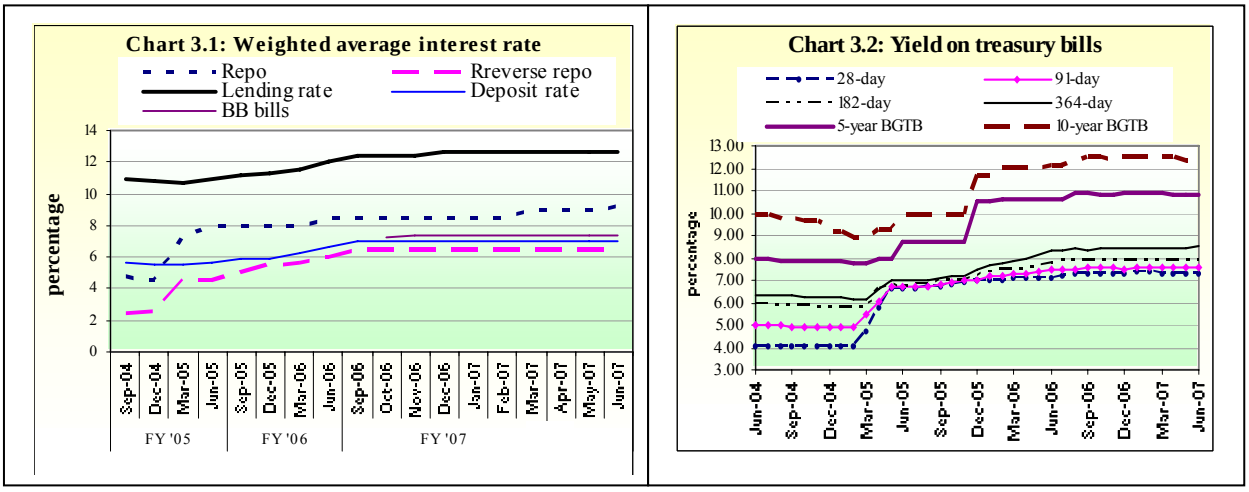
Table: 3.1 Interest Rate (Weighted Average) Development

Period	Treasury Bills				BB Bills		BGTB		Repo	Rev. Repo	Call Rate	Lending Rate	Deposit Rate
	28-Day	91-Day	182-Day	364-Day	30-Day	91-Day	5-Year	10-Year	1-2 Day	1-2 Day			
FY 06													
Sept	6.72	6.85	6.98	7.13	...	...	...	...	...	5.02	6.09	11.15	5.90
Dec	6.96	7.02	7.20	7.45	...	...	10.50	11.65	...	5.50	8.40	11.25	5.90
Mar	7.05	7.25	7.49	7.85	...	...	...	...	...	5.60	17.15	11.60	6.26
Jun	7.10	7.43	7.75	8.30	...	...	10.65	12.10	...	6.04	10.84	12.06	6.68
FY07													
Jul	7.15	7.45	7.82	8.35	...	...	...	...	...	6.22	7.56	...	...
Sep	7.24	7.55	7.83	8.38	...	...	10.86	12.49	...	6.49	7.36	12.41	6.98
Dec	7.33	7.52	7.84	8.45	7.37	...	10.89	12.49	...	6.50	7.16	12.60	6.99
March	7.32	7.58	7.86	8.45	7.38	7.58	...	12.50	9.00	6.50	6.99	12.71	7.02
May	7.33	7.59	7.88	8.46	7.38	7.60	...	12.34	9.00	6.50	7.61	...	...
June	7.32	7.60	7.89	8.48	7.39	7.60	...	12.14	9.25	6.50	7.67	...	...

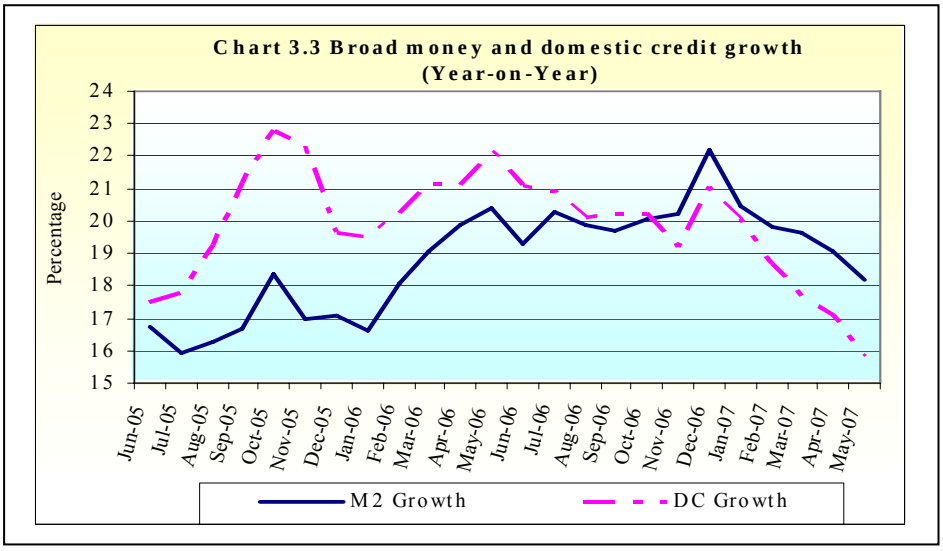
Source: MPD, FRTMD, Statistics Department, Bangladesh Bank.

From Table 3.1 it appears that the gap between short term rates (of T-Bills) and those of 5/10 years BGTB is significant. In order to dampen inflationary expectation, it may be prudent to reduce the gap. This may be done by changing short-term interest rates and developing secondary market of government securities leading to lowering of yield on long term bonds. However, in adjusting short term rates one has to be careful in view of the fact

that due to present situation of excess liquidity with the banks, BB may be able to withdraw money growth through reverse repo offering relatively higher rate of interest.



BB has been continuing to follow the cautious monetary stance with a view to ensuring that the existing inflation is not further fuelled by increased aggregate demand. However, BB is committed to ensuring flow of credit in the productive sectors like agriculture, small scale industries, low cost housing etc., where market has failed to deliver. BB has already taken a decision to introduce a refinancing scheme for housing loans for lower and middle income groups. This step will provide impetus to the housing sector which provides employment to a large number of people. In order to boost credit in the agricultural sector, BB requested the commercial banks (which hitherto did not provide much agricultural credit) to come forward, and in response to that these banks have assured to provide more than Tk. 1,000 crore as agricultural credit during next 12 months.



After strengthening the regulatory framework, improving the bank supervision process, and completing procedure for selling Rupali Bank, BB is now focused on corporatizing and restructuring the nationalized commercial banks (NCBs). The process of corporatization of

three NCBs – Sonali, Janata and Agrani – has started. Meantime, these banks have been turned into public limited companies. NCB reforms will increase efficiency of financial system which in turn will enhance its resilience contributing to firm up the monetary stability.

3.2 Monetary Stance for FY08: Keeping in view the prevailing price situation and enhanced excess liquidity emanating from moderating private sector credit demand and increase in net foreign assets, BB's monetary stance will continue to be cautious in FY08. Despite persuasion of a cautious policy, growth in both money supply (estimated) and reserve money has exceeded the program levels at the end of June 2007. In this backdrop, further review of policy interest rates may be necessary. Since the bond/bill market is not yet developed to reduce the inflationary expectation in the longer term, interest rate of the instruments of the shorter tenor may have to be revisited relative to that of longer term. SLR/CRR of banks including Islamic ones have remained unchanged since 2005. In view of the unfolding price developments BB may review these rates. Above all, coordination among monetary, fiscal and trade policies is required to help curb rising inflationary pressure and achieving 7.0 percent economic growth in FY08. As before, the private sector will receive necessary policy attention to ensure desired level of economic growth.

Apart from monetary policy stance, BB is of the opinion that the following issues to be kept in perspective for overall economic development of the country: (a) fiscal discipline should be adhered to by the government as strictly as possible, (b) the spread between rate of interest on deposits and that on lending charged by the banks should be reduced to help private sector enterprises, (c) heterodox policies to improve production and marketing of agricultural products should be considered by the government, (d) introduction of international prudential norms for banks and financial institutions to be calibrated for consistency with the objective of greater financial inclusion.